

Rich Paul

4001 Glacier Hills Drive #212

Ann Arbor, MI 48105

November 22, 2025

VIA EMAIL AND CERTIFIED MAIL

John B. Paul, Trustee

Lisa J. Paul, Trustee

3069 NW Blodgett Way

Bend, OR 97703

James Pollock, CFA

412 East Huron

Ann Arbor, MI 48104

Re: Final Demand for Accounting, Correction of Distribution Practices, Failure of Notice, and Breach of Fiduciary Duties — Ara G. Paul and Shirley W. Paul Charitable Remainder Unitrust

To the Trustees and Financial Advisor:

I am a lifetime income beneficiary of the **Ara G. Paul and Shirley W. Paul Charitable Remainder Unitrust** (the “Trust”). This letter constitutes formal notice of multiple breaches of fiduciary duty and statutory obligation. Unless the matters described herein are fully resolved **within 10 business days**, I will initiate legal action without further notice.

I. Improper Administration of a Net-Income-with-Makeup Unitrust (NIMCRUT)

Under Article I(A) of the Trust, the Trustees must distribute the **unitrust amount**, defined as the lesser of:

- Trust income under IRC §643(b), or
- **Six percent (6%) of the net fair market value** of Trust assets, valued on the first day of each taxable year.

The Trust is explicitly structured as a **net-income-with-makeup CRUT (NIMCRUT)**. This structure requires:

- generation of reasonable income, and
- application of “makeup” from years where income exceeds 6% to compensate for prior shortfalls.

Your administration has **frustrated the makeup provision entirely** by adopting an investment strategy that produces approximately **1.2% income**, despite a 6% unitrust formula.

The Trust instrument itself further confirms this duty by providing, in substance, that **nothing in the Trust shall be construed as preventing the trustees from generating reasonable income** ("nothing shall be construed as preventing ... from generating reasonable income"). Your current investment posture violates this express directive as well as the Trust's purpose. A trustee may not invest in a manner that renders the Trust incapable of performing its required function.

This constitutes breaches of the following duties:

- **MCL 700.7801** — duty to administer in accordance with the Trust,
 - **MCL 700.7803** — duty of impartiality between income and remainder beneficiaries,
 - **MCL 700.7804** — duty of prudent administration.
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II. Failure to Invest to Produce Reasonable Income (Constructive Reduction of Unitrust Amount)

A NIMCRUT requires **reasonable income production** so that the 6% and makeup mechanisms can operate. Your investment allocation produces roughly **1.2% income**, effectively reducing my distribution to 20% of the intended amount.

This is a **constructive reduction of the unitrust distribution**, accomplished not by altering the percentage, but by deliberately adopting a portfolio structure that eliminates income and channels nearly all gains to remainder beneficiaries.

This violates:

- **MCL 700.7803** — impartiality,
 - **MCL 700.7804** — prudence,
 - **MCL 700.1502** — Michigan Prudent Investor Rule.
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III. Failure to Use Adjustment Authority Under MCL 555.504

Michigan's Uniform Principal and Income Act grants trustees the authority to:

“adjust between principal and income”

when necessary to comply with the duty of impartiality. (MCL 555.504)

Despite:

- producing only **1.2%** trust income,
- a distribution structure dependent on income, and
- a foreseeable adverse impact on my ability to meet basic living needs,

you did not:

- adjust between principal and income,
- document any consideration of adjustment,
- notify me that adjustment was available, nor
- take any action to preserve the impartial functioning of the Trust.

This constitutes additional breaches of:

- **MCL 700.7803** — impartiality,
 - **MCL 700.7804** — prudent administration,
 - **MCL 700.7814** — duty to keep beneficiaries informed.
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IV. Failure to Provide Required Notice of Material Adverse Change (MCL 700.7814)

On or about the first-quarter distribution date, you instructed the financial advisor **not to issue the standard quarterly unitrust payment**. Although the advisor received notice, **you provided me no notice whatsoever**, despite knowing I rely on these funds for housing and basic necessities.

Your failure to notify me is especially serious given the written representation made by James Pollock at your direction, and dated December 3, 2024, stating that Trust income exceeded **\$34,000** that year and could be expected to remain at similar levels for a period of years.

I secured housing at **\$1,200 per month** in reliance on that representation. Your abrupt reduction of my distribution to approximately **\$1,500 per quarter**, without notice, was foreseeably harmful and avoidable.

This conduct evidences bad faith and violates your duties of:

- **MCL 700.7801** — loyalty,
 - **MCL 700.7814** — duty to keep beneficiaries informed.
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V. Formal Demands

You are hereby directed to comply with the following within **10 business days** of receipt:

1. Provide a Complete Accounting

For the most recent **three years**, including:

- all income, expenses, fees, and distributions (itemized) for all Paul family trusts,
- all bank and brokerage statements, as received by you,
- all communications with advisors, attorneys, or accountants,
- all documents relating to the change in distribution amount,
- and any records reflecting consideration (or lack thereof) of adjustment under MCL 555.504.

2. Restore All Unpaid Unitrust Amounts

Restore all amounts improperly withheld due to the constructive reduction of income, with statutory interest.

3. Cooperate With Successor Trustee Appointments

Recognize and cooperate with my designated successor trustees immediately, and make arrangements to transfer forthwith the portion of the funds held for my benefit to them, together with all related books and records.

4. Conduct All Trust Business in Writing

All further communication must be documented in writing and provided to both beneficiaries and successor trustees, to include communications with me, and with all other people involved in the trust.

VI. Notice of Imminent Legal Action

Failure to comply will result in immediate legal action, including:

- petitioning the probate court for **accounting, surcharge, and removal**,
- filing claims for **breach of trust and fiduciary duty**,
- seeking damages for **statutory conversion** (MCL 600.2919a),
- seeking removal of Pollock Investment Advisors from Paul family trust management,
- and filing complaints with the **CFA Institute, SEC/FINRA**, and relevant bar authorities.

All statutory and equitable remedies are reserved.

VII. Preservation of Evidence

Effective immediately, you are instructed to preserve:

- all electronic and paper records,
- emails, texts, and messages,
- draft documents,
- advisor communications,
- payment instructions,
- and all materials relating to trust administration or distribution changes.

Any destruction or alteration of records will be treated as spoliation.

Please govern yourselves accordingly.

Rich Paul

Lifetime Income Beneficiary

Ara G. Paul and Shirley W. Paul Charitable Remainder Unitrust